TEXORA · LECTURE SHEET

Introduction to Merchandising

What merchandising is, what a merchandiser actually does from enquiry to shipment, the skills the job demands, how negotiation works, the language of the trade, and how creative and technical design and the selling seasons frame every order.

TE-4104 · APPAREL MERCHANDISING AND INTERNATIONAL TRADE · TOPIC 1 · LEVEL 4 TERM 1

1. Definition of merchandising

Merchandising is the planning, development and presentation of a product line for a target market, at the right price, in the right quantity, at the right time and in the right place — the classical “five rights” of merchandising. In apparel export business the meaning is more operational: merchandising is the complete coordination of an order from the buyer’s first enquiry to the final shipment and payment, so that the garment delivered matches what was promised in style, quality, quantity, price and date.

A **merchandiser** is the person who owns that coordination. The merchandiser is the single point of contact between the buyer (importer, retailer or brand) and the factory: translating the buyer’s requirements into factory instructions, translating the factory’s capabilities and constraints back to the buyer, and keeping cost, sample, production and shipment on one plan. The merchandiser neither sews the garment nor sells it in a shop, yet no garment moves without the merchandiser’s information flowing first.

> **WORKING DEFINITION**
>
> Merchandising = right product + right quality + right quantity + right price + right time. Remove any one of the five and the order fails, even if the other four are perfect.

2. Skills required for a merchandiser

SKILL AREA	WHAT IT MEANS IN PRACTICE
Product and technical knowledge	Fibres, fabrics, garment construction, consumption and costing (Topic 4), quality requirements and testing — enough to discuss a tech pack intelligently with buyer and factory alike.

Commercial skill	Costing, pricing, payment terms, Incoterms and documentation (Topic 5); the ability to see margin, risk and cash-flow in an order, not only its style.
Communication	Clear written English for buyer correspondence, precise internal instructions, and the discipline of confirming every verbal agreement in writing.
Planning and follow-up	Building and chasing a time-and-action calendar (Topic 2); detecting a delay while it is still recoverable.
Negotiation	Reaching agreements on price, quantity, lead time and claims that both sides can honour (Section 4).
Problem-solving under pressure	Re-planning around fabric delays, approval delays and capacity shortages without losing the shipment date or the buyer's trust.
Computer and data skill	Spreadsheets for costing and status reports, order-tracking systems, and accurate record keeping for every approval and change.

3. Activities involved in merchandising

The merchandiser's work follows the life of an order. Each activity produces a document or an approval that the next activity depends on:

1. **Enquiry handling and costing.** Receive the buyer's enquiry / tech pack, estimate consumption and cost, and quote a price.
2. **Order confirmation.** Agree price, quantity, delivery date and payment terms; receive the purchase order (PO) and the contract / letter of credit process begins (Topic 5).
3. **Sampling.** Develop and dispatch the sequence of samples until the pre-production sample is approved (Topic 3).
4. **Booking and sourcing.** Book fabric and trims against the approved sample and the time-and-action calendar (Topic 3).
5. **Production follow-up.** Monitor cutting, sewing, washing / finishing against the plan; attend pre-production and inline meetings; chase approvals.
6. **Quality coordination.** Arrange inline, pre-final and final inspections; ensure test requirements are met.
7. **Shipment.** Confirm vessel booking, prepare export documents, hand over goods and documents as the contract requires (Topics 5 and 8).
8. **Payment and closure.** Follow document negotiation / retirement, realise payment, close the order file, and record lessons for the next order.

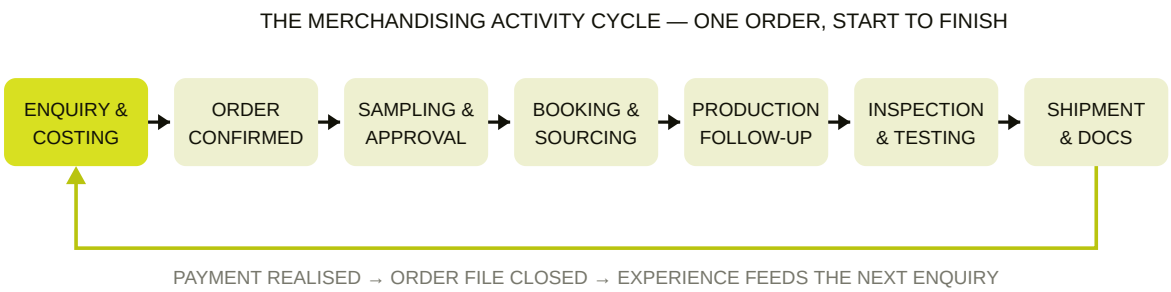


Figure 1 — The merchandising activity cycle. The loop is the point: what is learned closing one order (true consumption, true lead times, claims) becomes the accuracy of the next quotation.

4. Negotiation: types and process

Negotiation is the process by which two parties with partly shared and partly opposed interests reach an agreement both can perform. A merchandiser negotiates continuously — price with the buyer, rates with suppliers, lead time with production, claims when something goes wrong.

Types of negotiation

TYPE	CHARACTER	APPAREL EXAMPLE
Distributive (win–lose)	A fixed value is divided; one side's gain is the other's loss. Suited to one-off deals.	Haggling over a single price point with no future orders in view.
Integrative (win–win)	The parties expand the value — volume, longer commitment, simpler styles — then share it. Suited to continuing buyer relationships.	Buyer accepts a slightly higher price in exchange for a larger, repeat programme and priority capacity.
Internal negotiation	Agreement inside one's own organisation, e.g. merchandising vs. production over capacity and dates.	Securing a sewing line slot for a rush order.
Multi-party negotiation	More than two parties — buyer, factory and fabric mill must all agree for the deal to work.	A price that depends on the mill's fabric offer and the factory's CM together.

The process of negotiation

1. **Preparation.** Know your costing, your walk-away limit, and the other side's likely needs before the discussion opens.

2. **Opening.** State positions clearly; the first figures anchor the discussion, so open with a defensible, calculated position — not a guess.
3. **Discussion and exchange.** Trade concessions conditionally ("if you increase quantity, we can review price") rather than giving them away one by one.
4. **Bargaining towards agreement.** Narrow the gap item by item; summarise what is agreed as you go.
5. **Agreement and confirmation.** Record the full agreement — price, quantity, dates, terms — in writing (PO / contract). An unrecorded agreement is a future dispute.
6. **Implementation and review.** Perform exactly what was agreed; review afterwards what the negotiation taught about costs and the counterpart.

> **NEGOTIATION RULE**
>
> Never negotiate a price you have not costed. A concession given below true cost is not won business — it is a loss booked in advance (Topic 4 builds the costing that makes negotiation safe).

5. Merchandising terminology

TERM	MEANING
Enquiry / RFQ	A buyer's request for a quotation for a described style and quantity.
Tech pack	The technical package defining the garment: sketches, measurements, materials, construction and packaging (Topic 2).
PO	Purchase order — the buyer's formal order document stating style, quantity, price and delivery date.
Lead time	The total time from order confirmation to shipment.
CM / CMT	Cut-and-make charge; CMT adds trims supplied by the maker.
FOB	Free on board — price basis up to loading on the vessel (Topic 5).
PP sample	Pre-production sample: the final approved sample before bulk production (Topic 3).
T&A	Time-and-action calendar: the dated plan of every order milestone (Topic 2).
AQL	Acceptable Quality Level — the sampling standard used at inspection.
MOQ	Minimum order quantity set by a factory or a mill.
Strike-off	A trial print / embroidery / wash submitted for approval.

Bulk	The main production quantity, as distinct from samples.

6. Creative and technical design in apparel and accessories

A garment begins as design, and merchandising sits between two kinds of design work. **Creative design** decides what the garment is: silhouette, colour story, fabric character, prints and trims chosen for a market and a season; its tools are mood boards, sketches, colour palettes and range plans, and its test is whether the target customer wants the product. **Technical design** decides how the garment can be made, repeatedly and at cost: graded measurements, construction and seam specifications, bill of materials, tolerances and packaging — the content of the tech pack. A successful style needs both: creative design without technical design cannot be manufactured consistently; technical design without creative direction produces a correct garment nobody ordered. Accessories — belts, bags, scarves, hats and similar items bought to accompany apparel — follow the same split: creative selection for the range, technical specification for production. The merchandiser's role is to carry a style across the bridge between the two, flagging early when a creative idea breaks a technical or cost limit.

7. Seasons of sale

Apparel is sold by **seasons** because clothing demand follows climate and the retail calendar. The two principal seasons are **Spring–Summer (SS)** and **Autumn–Winter (AW)**; many buyers add transitional and high-summer or holiday / cruise ranges between them. Each retail season implies a production season months earlier: garments must be developed, approved, produced and shipped in time to reach shops before the selling season opens, and ocean transit is part of that arithmetic. For the merchandiser the consequences are practical:

- **Development is seasonal.** Sampling peaks ahead of each season's order window; several buyers' seasons overlap and compete for the same sampling capacity.
- **Lead time is counted backwards.** The shipment date is fixed by the store launch; the T&A calendar (Topic 2) is built backwards from it.
- **Late is worthless.** A summer garment delivered after the season cannot be recovered by a quality improvement — season discipline is why merchandising follow-up exists.
- **Fabric and colour are seasonal.** Bookings follow the season's palette and fabric story, so a merchandiser plans greige / fabric capacity ahead of confirmed orders for core seasonal fabrics.

Glossary

TERM	MEANING

Merchandising	The coordination of a product / order so the right goods reach the right market at the right price, quantity, quality and time.
Merchandiser	The coordinator linking buyer and factory across costing, sampling, production, inspection and shipment.
Negotiation	A structured discussion through which parties reach an agreement both can perform.
Season	A retail selling period (chiefly Spring–Summer and Autumn–Winter) that sets development and delivery deadlines.
Technical design	The specification work that makes a creative design manufacturable: measurements, construction, materials and tolerances.

Key points and summary

- Merchandising is defined by the five rights — product, quality, quantity, price and time — applied across the whole life of an order.
- The merchandiser needs product, commercial, communication, planning, negotiation and data skills together; weakness in any one shows up as a failed order.
- Activities run in a cycle: enquiry and costing → confirmation → sampling → sourcing → production → inspection → shipment → payment and closure.
- Negotiation is either distributive or integrative in character, and always follows preparation → opening → exchange → agreement in writing → implementation.
- Creative design decides what the garment is; technical design decides how it can be made. Seasons convert both into fixed deadlines.

Practice

Answer in your own words; brief model answers follow.

1. A buyer’s order is sewn perfectly but shipped three weeks after the selling season opened. Which of the five rights failed, and why does perfect quality not rescue the order?
2. Classify each negotiation as mainly distributive or integrative, and justify: (a) a one-time spot purchase of surplus fabric; (b) a two-year programme in which the buyer guarantees volume and the factory reserves capacity.
3. List the merchandising activities, in order, between receiving a PO and loading the vessel.
4. A creative design specifies a fabric the factory cannot sew at the target cost. Whose work must change — creative design, technical design, or both — and what is the merchandiser’s role?

Answer key

1. The right-time condition failed. Seasonal goods lose their market when the season passes, so a late delivery destroys the order’s value regardless of quality.
2. (a) Distributive — a single transaction dividing a fixed value. (b) Integrative — both sides create value (volume security against capacity security) over a continuing relationship.
3. Sampling and approval → booking / sourcing of fabric and trims → production follow-up → quality inspection and testing → shipment documentation and handover (payment / document negotiation follows loading).
4. Both may change: creative design may accept an alternative fabric, or technical design may re-engineer construction to hold cost. The merchandiser coordinates the decision, presenting cost and feasibility evidence to both sides before bulk commitment.

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